

Bank Structure

Group Structure

A large banking group such as *FirstRand Limited* is typically structured as a financial holding company that owns and oversees a range of operating subsidiaries. Each subsidiary focuses on a distinct area of financial services—banking, insurance, investment, or asset management—allowing the group to operate as a diversified financial services conglomerate. This structure provides regulatory separation, risk ring-fencing, and strategic flexibility across business lines.

Barclays PLC represents a classic example of a large, internationally active (G-SIB), universal banking group with a diversified business model.

Holding Company Level

FirstRand Limited

At the top of the structure sits FirstRand Limited, the listed holding company on the Johannesburg Stock Exchange (JSE). It is responsible for overall governance, strategic direction, and capital allocation across the group. The holding company consolidates the financial results of all subsidiaries and ensures compliance with regulatory and corporate governance requirements imposed by the South African Reserve Bank (SARB), the Financial Sector Conduct Authority (FSCA), and the Prudential Authority (PA).

The Board of FirstRand Limited oversees the group's risk appetite, governance frameworks, and capital planning, ensuring alignment with Basel III and the Banks Act requirements. The holding company structure enables the group to separate regulated banking operations from other non-banking or offshore businesses while maintaining consolidated financial oversight.

Barclays PLC

In the UK, at the top of the group structure is Barclays PLC, a UK-incorporated and publicly listed holding company on the London Stock Exchange. Barclays PLC serves as the ultimate parent of all Barclays entities worldwide and is responsible for setting the group's strategic direction, governance framework, and consolidated financial reporting.

The holding company ensures compliance with prudential and corporate governance requirements imposed by UK and international regulators, including the Prudential Regulation Authority (PRA), the Financial Conduct Authority (FCA), the Bank of England (BoE), and, for EU operations, the European Central Bank (ECB) and European Banking Authority (EBA).

Banking Subsidiaries

FirstRand Bank Limited

The core operating entity under the group is FirstRand Bank Limited, which holds the group's banking licence issued under the Banks Act of South Africa. This subsidiary houses the group's main banking activities, including retail, commercial, corporate, and investment banking services.

As one of the largest banking groups in South Africa, FirstRand is designated as a Domestic Systemically Important Bank (D-SIB) by the South African Reserve Bank. This designation subjects it to enhanced regulatory requirements, including higher capital buffers, stringent stress testing, and recovery and resolution planning to ensure the continuity of critical financial services in times of stress.

Barclays Bank PLC

The group's principal banking subsidiary is Barclays Bank PLC, which conducts the Corporate and Investment Banking (CIB) and International businesses. It holds the primary UK banking licence and is authorised by the PRA and regulated by both the PRA and the FCA.

Barclays Bank UK PLC

In response to the UK ring-fencing regime introduced under the Financial Services (Banking Reform) Act 2013, Barclays created a separate legal entity, Barclays Bank UK PLC, to house its UK retail and small business banking operations. This structural separation was mandated by the Bank of England's ring-fencing rules, which require large UK banks to isolate core retail activities from investment banking and other riskier activities to protect depositors and the financial system.

Barclays Bank UK PLC provides products such as current accounts, mortgages, credit cards, personal loans, and SME banking services. It is also authorised and regulated by the PRA and FCA, with its own independent board and governance arrangements.

Franchises

FirstRand Bank Limited

Under FirstRand Bank Limited operate the group's well-known brand franchises, which cater to distinct customer segments:

- FNB (First National Bank) – the retail and commercial banking arm serving individuals, small businesses, and mid-sized corporates. FNB provides services such as deposits, mortgages, personal loans, credit cards, and transactional banking.
- RMB (Rand Merchant Bank) – the corporate and investment banking division focusing on large corporates, institutional clients, and investment banking services including advisory, structured finance, trading, and treasury operations.
- WesBank – the instalment finance business specialising in vehicle and asset finance for individuals and corporates.

Each of these divisions operates semi-autonomously under the banking licence of FirstRand Bank, sharing infrastructure, systems, and governance frameworks while pursuing distinct market strategies.

Barclays Bank PLC

Within Barclays Bank PLC operate several business lines:

- Barclays Corporate Banking – serving large corporates, financial institutions, and public sector clients through lending, trade finance, and treasury solutions.
- Barclays Investment Bank – providing investment banking, advisory, and capital markets services globally, including debt and equity underwriting, M&A advisory, and derivatives trading.

- Barclays International – covering non-UK retail, business banking, and wealth management activities, particularly in Europe, the Americas, Asia, and Africa.

Barclays Bank PLC also houses several international branches and subsidiaries, including Barclays Bank Ireland PLC, which serves as the EU hub following Brexit to maintain passporting rights and continuity of service within the European Economic Area (EEA).

International Subsidiaries

FirstRand Bank London Branch

FirstRand Group maintains a number of subsidiaries and branches outside South Africa, allowing it to serve clients across sub-Saharan Africa, the UK, India, and other international markets. Examples include FirstRand Bank London Branch, FirstRand Namibia Limited, FirstRand Botswana Limited, and FirstRand Eswatini Limited.

These entities operate under local banking licences and are subject to host-country regulatory supervision while adhering to the group's global risk and governance standards. The London Branch, for example, is authorised by the Prudential Regulation Authority (PRA) and regulated by the Financial Conduct Authority (FCA) in the UK.

The international diversification provides the group with access to hard currency funding, offshore markets, and cross-border business opportunities, while contributing to the resilience of its earnings base.

Barclays Capital Inc.

Barclays has a long-established global presence, operating across Europe, the Americas, Africa, the Middle East, and Asia. After Brexit, Barclays restructured its European operations, designating Barclays Bank Ireland PLC as its main EU-based entity to maintain continuity of services within the EEA under ECB supervision.

In the United States, Barclays operates through subsidiaries regulated by the Federal Reserve, the Office of the Comptroller of the Currency (OCC), and the Securities and Exchange Commission (SEC). Barclays Capital Inc. serves as its US broker-dealer and investment banking arm.

Other Financial Services Subsidiaries

FirstRand Limited

Beyond traditional banking, FirstRand Group also owns and manages non-bank financial services subsidiaries. These entities broaden the group's value proposition and revenue diversification across insurance, asset management, and investment products. Examples include:

- Ashburton Investments – the group's asset management and investment business offering a range of investment funds, portfolio management, and wealth solutions.
- FirstRand Life Assurance and other insurance subsidiaries – providing life and short-term insurance products, often integrated with the group's retail offerings.
- FirstRand Securities and other broker-dealer entities – facilitating investment and capital market transactions.

These entities are generally registered and regulated under the Financial Sector Conduct Authority (FSCA) and other relevant regulatory frameworks such as the FAIS Act and Long-term Insurance Act.

Barclays PLC

Barclays Group also includes several non-bank financial services subsidiaries that complement its banking operations and support diversification of income sources. Examples include:

- Barclays Life Assurance Company Limited – providing life and insurance-linked savings products.
- Barclays Capital Securities Limited – an investment services and securities trading entity.
- Barclays Asset Management and Wealth Management Divisions – offering portfolio management, private banking, and investment advisory services under the Barclays Wealth brand.
- Barclaycard – the group’s global credit card and payments business, which operates both within the UK retail bank and internationally.

These subsidiaries are regulated under the FCA and relevant UK and EU financial services legislation, such as the Financial Services and Markets Act 2000 (FSMA) and the Markets in Financial Instruments Directive II (MiFID II).

Bank Type

FirstRand Limited is a universal banking group, meaning it provides a full spectrum of financial services — from traditional retail and commercial banking to investment banking, insurance, and asset management. It operates primarily through its main licensed banking subsidiary, FirstRand Bank Limited, and its major branded divisions:

Type of Bank	Applicability	Description
Traditional deposit-taking bank	●	Through FNB, FirstRand operates as a traditional retail and commercial bank, offering current accounts, savings products, and lending facilities.
Investment bank	●	Through RMB, it provides corporate advisory, capital markets, structured finance, and risk management products.
Universal bank	●	FirstRand is a fully-fledged universal bank, offering a comprehensive suite of retail, corporate, and investment services under a single group structure.
Challenger bank	○	Not classified as a challenger bank, though FNB leverages advanced digital banking capabilities that rival fintech entrants.
Shadow bank	○	Does not operate in the unregulated lending space; all major activities are regulated under the Banks Act and FSR Act.
Mutual bank	○	It is a listed corporate entity, not a member-owned cooperative.
Wholesale-funded bank	●	The group raises substantial funding through institutional and capital markets, especially through RMB.
Development bank	○	It is a private-sector institution, not a development finance body.